



CONVEX RESEARCH GROUP

Equity and fixed income research, independently sourced

Morning Note
Tuesday, June 9, 2026
Published: 6:30 AM ET
Tone: Risk-On

OVERNIGHT MACRO

- Asia: Mixed. Nikkei flat, Hang Seng +0.31%. China is the outlier CSI 300 down 2.24% while the rest of the world is green, worth monitoring for contagion risk if it continues.
- Europe: Broadly higher. DAX +0.53%, CAC +0.89%, Euro Stoxx +0.73%. Italy's FTSE MIB leading at +2.00%. FTSE 100 the lone underperformer at -0.17%.
- FX: Dollar index quiet overnight. No major moves.
- Commodities: Oil pulling back after Monday's surge, WTI down 2.16% and Brent down 1.75%, which takes some heat off the inflation narrative near term. Gold still struggling, off nearly 8% over the past month. Copper +1.11%, supporting the risk-on tone.
- U.S. Futures: S&P +0.41%, Nasdaq +0.68%, Russell leading at +0.88%. Small caps outperforming large cap two sessions in a row is a genuine risk-on signal. VIX at 18.23 and falling.

KEY EVENTS & DATA TODAY

Time (ET)	Event	Prior	Estimate
8:15 AM	ADP Employment Change (Weekly)	35.75K	
8:30 AM	Trade Balance (Apr)	-\$60.3B	Actual: -\$56.2B
10:00 AM	Existing Home Sales (May)	4.02M	4.07M
10:00 AM	Existing Home Sales MoM (May)	0.20%	

Fed Speakers: None.

Earnings: JM Smucker (SJM) BMO, \$2.65 EPS estimate. Not a market mover.

Key Watch: Existing Home Sales at 10 AM. Housing is the most rate-sensitive sector in the economy. A beat above 4.07M could reignite Friday's fear trade. A miss signals higher rates are already biting and gives the Fed a reason to pause, which is what this market wants.

RATES & CREDIT SNAPSHOT

Instrument	Level	Note
2Y Treasury	4.149%	Front end rallying 0.9bps
10Y Treasury	4.560%	+0.8bps
30Y Treasury	5.035%	+1.1bps, holding above 5.00%
2s10s Spread	~41bps	Bear steepener in play
IG Spread (OAS)	72bps	Near multi-year lows
HY Spread (OAS)	274bps	Near low end of recent range

The curve is doing something interesting this morning. The 2Y is actually falling while the 10Y and 30Y drift higher a classic bear steepener. That pattern says the market is starting to look past near-term Fed policy and pricing in longer-term growth and inflation risk instead. The 30Y staying above 5.00% is the anchor to watch.

Credit is unmoved IG at 72bps and HY at 274bps, both near multi-year lows. Two days of equity volatility and credit hasn't budged. Either the bond market is telling you the economy is fine and equities overreacted, or credit is about to catch up to the equity story. One of those two things has to give.

EQUITY SETUP

SPX: 7,436 futures, +0.41%. Reclaimed 7,400 on Monday. Holding above that level pre-market is constructive.

NDX: 29,613 futures, +0.68%. Tech recovering but still well off pre-Friday levels. Watch semis for conviction.

RTY: 2,880 futures, +0.88%. Small caps leading for two straight sessions. The market is not pricing in recession.

VIX: 18.23, down 2.72%. Trending lower and below 20. Fear is fading.

Key Level: SPX 7,450 is the next resistance. Hold 7,400 on the open and the bounce stays intact. Existing Home Sales at 10 AM is the potential speed bump.

ONE THEME TO WATCH

The bounce is real, but it hasn't been tested yet. Two days of green tape is encouraging, but neither session had any meaningful data to push back against. That changes at 10 AM with Existing Home Sales. Housing is where rate hikes actually hurt mortgage rates have been above 7% for months and any sign that demand is holding up at these levels would confirm that the economy is simply too strong for the Fed to cut. A beat on home sales today is the same trade as Friday's jobs report: good news for the economy, bad news for the market.

Watch the 10-year yield reaction more than the equity reaction. If the 10Y spikes through 4.60% on a strong print, the rate hike narrative is back in control and this bounce stalls. If yields are contained and equities hold, the market is telling you it has already priced in the higher-for-longer regime and is ready to move on. That would be a meaningful shift.

PORTFOLIO WATCH

Catalysts Today: No direct earnings catalysts. Watch home sales print at 10 AM for rate-sensitive positioning. Oil names to watch on WTI giveback.